INSURANCE AND PENSIONS COMMISSION

FOURTH QUARTER REPORT

FOR

LIFE ASSURERS

FOR THE YEAR ENDED 31 DECEMBER 2012

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
’11	The Year 2011
’12	The Year 2012
NOTE:	**ALL MONETARY FIGURES ARE IN USD**

1.0 Table of Contents

2.0 Industry Overview

This report is based on 9 Life assurance companies and 2 reassurance companies. The life sector wrote $196million in net premium terms, a 40% growth rate from the prior quarter. Similarly, total costs grew by 38% to $132million ,a red flag warning about cost containment. The industry ,however, realized $66million in technical profit despite expense and combined ratios of 21% and 67% respectively(September 2012: 23% and 68%).

Total industry assets grew by 9% to $1,2billion at year (September 2012: $1,1billion).Players conservatively began to subscribe to prescribed paper .

The life assurance industry statutorily capitalized adequately although the capital to liability ratio has stagnated at 14% against a regional minimum threshold of at least 100% (See Table 1, below).

Table 1 : Financial Performance Indicators for Life Companies for the quarter ended 31 December 2012

Item	Life Assurers			Life Reassurers			TOTALS		
	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var
Gross Premiums Written ($000)	140,363	**196,058**	40%	4,524	5,981	32%	144,887	**202,039**	39%
Net Premiums Written ($000)	137,642	**192,606**	40%	3,823	4,965	30%	141,465	**197,571**	40%
Retention Ratio	98%	**98%**	-	84%	83%	(1%)	98%	**98%**	-
Total Gross Claims ($000)	60,810	**89,444**	47%	1,362	1,710	26%	62,172	**91,154**	47%
Total Net Claims ($000)	60,378	**88,973**	47%	1,315	1,852	41%	61,693	**90,555**	47%
Management Expenses ($000)	26,405	**33,479**	27%	996	1,308	31%	27,401	**34,787**	27%
Commissions ($000)	3,917	**4,904**	25%	1,188	1,278	8%	5,105	**6,182**	21%
Total Costs($000)	92,170	**127,356**	40%	3,499	4,438	27%	95,669	**131,794**	38%
Technical Profit	45,472	**65,250**	43%	324	527	63%	45,796	**65,777**	44%
Expense Ratio (%)	22%	**20%**	(2%)	57%	52%	(5%)	23%	**21%**	(2%)
Combined Ratio	67%	**66%**	(1)	92%	89%	(3%)	68%	**67%**	(1%)
Total Assets ($000)	1,084,636	**1,176,799**	8%	4,117	5,886	43%	1,088,753	**1,182,685**	9%
Current Assets	165,754	**159,690**	(4%)	2,263	3,939	74%	168,017	**163,629**	(3%)
Current Liabilities	**23,810**	**44,294**	**86**	975	1,148	18%	24,785	**45,442**	83%
Total Liabilities ($000)	955,274	**1,024,677**	7%	3,462	3,638	5%	958,736	**1,028,315**	7%
Free Capital($000)	129,362	**152,120**	18%	**655**	**2,248**	243%	130,017	**154,368**	19%
Liquidity Ratio	696%	**361%**	(335%)	**132%**	**343%**	211%	678%	**360%**	(318%)
Capital to liability Ratio	14%	**15%**	1%	**19%**	**196%**	177%	14%	**15%**	(1%)
Prescribed Asset Ratio (%)	-		-	-	**1%**	-	-		

Section A

Life Assurance Companies

3.0 Update on Number of Operational Institutions

This report is centered on 9 life assurers.

4.0 Net Premiums Written

For the period under review, life offices wrote $193million in net written premiums, a 40% growth from $138million realized in the prior quarter. Given a net premium written of $146million in respect of the previous year, the annual growth rate for the industry was 32% . This shows a rapidly recovering industry despite an economic growth rate of less thasn 10% for the year ended 31 December 2012.(see Table 2,below).

Table 2: Net Written Premium Distribution by Company as at 31 December 2012

Name of Company	NPW (USD)				Yearly Growth
	Sept 12 (000)	Dec 12 (000)	Quarterly Growth (%)	Dec 11 (000)	
Altfin	3,197	3,989	25	*3,747*	6
Cbz	2,664	3,907	47	*1,634*	139
Evolution	491	558	14	*1,273*	(66)
Fidelity	5,919	8,520	44	*6,955*	23
FML	8,823	22,189	151	*24,136*	(8)
Heritage	746	1,016	36	*834*	22
Old Mutual	102,821	134,202	31	*93,090*	44
Zb Life	4,715	6,460	37	*5,788*	12
Zimnat	8,266	11,765	42	*8,079*	46
TOTAL	**137,642**	**192,606**	**40**	***145,536***	**32**

5.0 Business Composition

For the year ended 31December 2012,life companies wrote $196million in gross terms.78% or $153million of this reported figure was constituted by recurring business whilst $43million or 22% are new business streams buoyed by employee benefits products(see Table 3 below). IPEC believes players are capable of increasing their new business income streams phenomenally via product innovation biased towards the largely uninsured informal sector. The industry is therefore encouraged to invest in research and development in order to discover new insurance needs and matching products. Insurance for the lower end of the society (micro-insurance) is surely the future for developing economies such as Zimbabwe.

Table 3: Business Composition by Company as at 31 December 2012

Co. Name	Individual Life (000)						Employee Benefits (000)						Total Gross Premiums (000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums							
	Sept 2012	Dec 2012	Growth (%)	Sept 2012	Dec 2012	Growth (%)	Sept 2012	Dec 2012	Growth (%)	Sept 2012	Dec 2012	Growth (%)	Dec 2011	Sept 2012	Dec 2012	Quarterly Growth (%)	**Annual Growth (%)**
Altfin	-	27	-	-	105	-		-	-	3,612	4,418	22	4,176	3,612	4,550	26	**9**
CBZ Life	810	355	(56)	113	321	184	1,640	3,247	98	271	215	21	1,634	2,834	4,138	46	**153**
Evolution	769	2	-	178	244	37	0	0	-	1,050	1,050	-	2,350	1,229	1,296	5	**(45)**
Fidelity	452	335	(26)	904	1,512	67	41	201	390	4,823	6,753	40	7,179	6,220	8,801	41	**23**
FML	1,813	-	-	4,978	10,106	103	93	-	-	1,939	12,199	529	24,337	8,823	22,305	153	**(8)**
Heritage	11	19	73	388	540	38	281	-	-	401	522	30	870	800	1,081	35	**24**
O. Mutual	414	1,498	262	2,807	2,736	(3)	8,349	34,777	317	91,250	95,641	5	93,330	103,137	134,652	31	**44**
Zb Life	-	1,178	-	-	1,436	-	-	5	-	5,027	4,278	(15)	5,907	5,027	6,897	37	**17**
Zimnat	610	729	20	238	496	108	366	615	68	7,468	10,498	41	8,542	8,681	12,338	42	**44**
TOTAL	**5,036**	**4,143**	**(18)**	**11,039**	**17,496**	**58**	**10,500**	**38,845**	**270**	**110,814**	**135,574**	**22**	**148,324**	**140,363**	**196,058**	**40**	32

5.2 Business Composition by Class

Fund business contributed 62% (September 2012:66%), group life assurance policies, 9% (September 2012:10%), funeral business,8% whilst annuities accounted for 12% (September 2012:13%) of total gross premium written. The first three products which accounted for a combined 79% of gross premium written are generically employer funded which might be an indication of a cash squeeze on the part of individuals due to low disposable incomes(See Table 4,below).

Table 4: Written Business Classes by Company for the year ended 31 December 2012

Co. Name	Annuities (000)			Term Assurance (000)			Endowment (000)			Pure Endowment (000)			Whole Life (000)			Funeral (000)			Fund Business (000)			OTHER/GLA (000)			Total (000)		
	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%
Altfin	0	20	-	0	7	-	0	0	-	0	-	-	3,612	4,523	25	0	-	-	*	-	-	*	-	-	3,612	4,550	26
CBZ Life	2,060	2,595	26	0	-	-	0	-	-	0	-	-	0	-	-	774	1,543	99	0	-	-	0	-	-	2,834	4,138	46
Evolution	0	-	-	0	-	-	0	-	-	0	0	-	1,050	1,050	-	179	246	37	0	-	-	0	-	-	1,229	1,296	5
Fidelity	0	-	-	0	-	-	476	143	(70)	11	75	582	167	1,129	576	0	501	-	4,864	6,953	43	702	-	-	6,220	8,801	41
FML	938	-	-	0	-	-	25		-	482	-	-	264	-	-	5,082	9,604	89	2,032	12,701	525	0	-	-	8,823	22,305	153
Heritage	*	3	-	*	0	-	*	-	-	*	50	-	800	522	(35)	*	506	-	*	-	-	*	-	-	800	1,081	35
O. Mutual	14,769	21,384	45	0	-	-	0	-	-	0	-	-	1,051	1,609	53)	1,346	1,960	46	72,590	91,511	26	13,065	18,188	39	102,821	134,652	31
Zb Life	*	45	-	*	794	-	*	339	-	*	-	-	5,027	5,719	14	0	-	-	*	-	-	*	-	-	5,027	6,897	37
Zimnat	*	404	-	*	-	-	*	-	-	0	-	-	49	69	41	719	1,051	46	7,833	10,709	37	80	105	31	8,681	12,338	42
Total	**17,820**	**24,451**	**37**	**0**	**801**	-	**501**	**482**	**(4)**	**702**	**125**	**(82)**	**12,020**	**14,621**	**22**	**8,100**	**15,411**	**90**	**87,319**	**121,874**	**40**	**13,847**	**18,293**	**32**	**140,363**	**196,058**	**40**

5.2.1 Not-taken Up policies and Lapsed Policies

The industry reported that the total policies that were not taken up policies amounted to $103 000(September 2012:$73 000) implying a 43% quarterly growth rate .Lapse ratios were largely below the internationally accepted threshold of 25%(see Table 5,below).

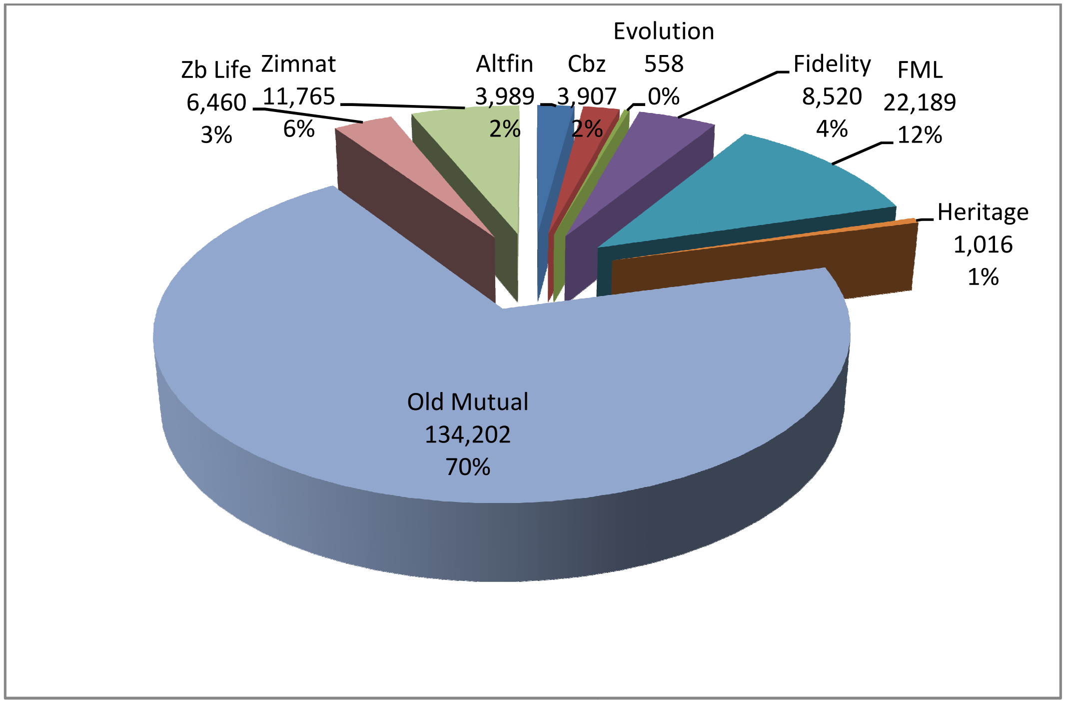
Table5: Lapses and Not Taken Up Policies by Company as at 31 December 2012

Co. Name	Not taken up policies (000)						Lapse Ratios (%)					
	Individual			Group Business			Individual			Group Business		
	Sept 12	Dec 12	Growth	Sept 12	Dec 12	Growth	Sept 12	Dec 12	Growth	Sept 12	Dec 12	Growth
Altfin	0	0	-	0	4	0	0	0	-	0	0	-
CBZ Life	8	7	(13)	20	1	(95)	0	13	-	0	31	-
Evolution	0	0	0	0	0	-	0	5	-	0	100	-
Fidelity	0	0	-	0	0	-	35	0	-	0	0	-
FML	9	9	-	0	0	-	14	33	19	0	33	-
Heritage	*	0	-	*	*	-	*	*	3	*	0	-
O. Mutual	10	0	-	0	0	-	7	23	16	-	0	-
Zb Life	0	86	-	0	0	-	11	40	29	0	0	-
Zimnat	26	1	(96)	0	0	-	17	21	4	0	0	-
TOTAL	**53**	**103**	**96**	**20**	**5**	**(75)**	**N/A**	**N/A**	**N/A**	**N/A**	**N/A**	**N/A**

6.0 Market Share for Life Assurers

The top three players controlled 88% of total business written. The Herfindahl index for the industry was 0.5114 implying a highly concentrated market. This fuels the need for players to be more competitive on service quality and product innovation in order to dilute the current oligopolistic nature of the market. The top four players controlled 91% of the total net written business in the prior quarter compared to the current 92% (See Figure 1, below).

Figure 1: Market share for life companies by Net Written Premium for the year ended 31 December 2012($000)



7.0 Claims Analysis

For the year under review, life companies paid $89million in net claims (September 2012: $62million).The Industry's total claims bill grew by 47% against premium growth rate of 40% which might be a red flag for the industry to proactively implement the relevant risk management measures (See Table 6,below and Table 2,above).

Table 6 : Claims Categories by Company for the year ended 31 December 2012

Co. Name	Death(000)			Maturity(000)			Disability(000)			Surrenders(000)			Funeral (000)			Annuities			Reinsurance			Total Net Claims (000)		
	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%
Altfin	128	57	-	84	0	-	0	0	-	140	113	19	0	0	-	0	292	-	62	32	(48)	290	430	48
CBZ Life	229	959	318	0	0		0	0	-	0	0	-	0	0	-	0	0	-	10	0	-	219	959	318
Evolution	276	280	1	0	0	-	0	0	-	0	0	-	0	0	-	0	0	-	0	0	-	276	280	1
Fidelity	948	551	(58)	0	114	-	0	0	-	0	565	-	0	0	-	0	141	-	122	122	-	826	1,249	51
FML	2,204	1,197	(46)	0	1,350	-	0	0	-	0	1,326	-	0	1,097	-	0	944	-	35	38	9	2,169	5,876	271
Heritage	116	111	(4)	0	4	-	0	0	-	0	23	-	0	0	-	0	0	-	6	8	33	110	130	18
O. Mutual	7,404	9,371	27	13,634	19,808	45	0	0	-	23,415	34,733	48	0	0	-	6,551	8,937	36	144	203	41	50,860	72,646	43
Zb Life	983	1,269	29	67	222	231	0	0	-	1,843	2,096	14	0	0	-	0	0	-	25	25	-	2,868	3,562	24
Zimnat	2,700	3,800	41	87	84	(3)	0	0	-	0	0	-	0	0	-	0	0	-	27	43	59	2,760	3,841	39
Total	**14,988**	**17,595**	17	**13,872**	**21,582**	**56**	**0**	**0**	-	**25,398**	**38,856**	**53**	**0**	**1,097**	-	**6,551**	**10,314**	**57**	**431**	**471**	9	**60,378**	**88,973**	47

7.0 Claims Aged Analysis

For the year ended 31 December 2012, the life assurance industry reported total outstanding claims growth of 74% to close the year at $2million though 54% of this figure was attributable to a single player. The outstanding claims bill was however 2% of the total claims for the year(See table 7,below and Table 6,above). IPEC however continues to encourage the industry to expedite payment of all legitimate claims as a confidence boosting measure to policyholders given the perceived unjustifiably low policy values post dollarisation.

Table 7 : Claims Aged Analysis by Company for the Quarter ended 31 December 2012

Co. Name	>30days($000)			31-60days($000)			61-90days($000)			91-120days($000)			<121 days plus ($000)			Total($000)		
	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%
Altfin	0	22	-	7	0	-	0	0	-	0	389	-	90	0	-	97	411	324
CBZ Life	1	48	4800	0	0	-	0	0	-	0	0	-	0	0	-	1	48	4700
Evolution	0	1	-	0	0	-	0	0	-	0	0	-	0	0	-	0	1	-
Fidelity	524	322	(39)	45	679	1409	12	88	633	1	16	1600	2	11	450	584	1,116	91
FML	0	0	-	0	0	-	0	0	-	0	140	-	0	0	-	0	140	-
Heritage	0	0	-	0	0	-	0	0	-	0	0	-	0	0	-	0	0	-
O. Mutual	241	310	29	0	0	-	0	0	-	0	0	-	0	0	-	241	310	29
Zb Life	13	14	8	5	5	-	5	5	-	15	15	-	8	8	-	47	48	2
Zimnat	0	0	-	224	0	-	0	0	-	0	0	-	0	0	-	224	0	-
Total	779	717	(8)	281	684	143	17	93	447	16	560	3400	100	19	(81)	1,193	2,074	74

8.0 Debtors Aged Analysis

The life assurance industry reported a debtors book in the sum of $4million,a $6million reduction(September 2012:$10million).Timeous premium collections ensure that players produce accurate financial information which is fully reflective of their financial soundness.

Given a gross premium figure for the year of $196million ,the average collection rate was 98%(September 2012:93%)(see Table 8,below).

Table 8 : Debtors Aged Analysis by Company for the Quarter ended 31 December 2012 ($000)

Co. Name	>30days($000)			31-60days($000)			61-90days($000)			91-120days($000)			<121 days plus ($000)			Total($000)		
	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%
Altfin	71	116	63	1	38	3700	79	61	(23)	0	0	-	842	701	(17)	993	916	(8)
CBZ Life	21	149	609	1	14	1300	0	0	-	0	0	-	0	0	-	22	163	641
Evolution	30	0	-	0	0	-	0	0	-	0	0	-	0	0	-	30	0	0
Fidelity	510	273	(46)	178	178	-	145	109	25	1	1	-	383	909	137	1,157	1,470	27
FML	0	0	-	416	450	8	184	129	30	572	529	(8)	0	0	-	1,173	1,108	7
Heritage	129	163	26	48	48	-	61	16	(74)	107	103	(4)	0	0	-	346	330	(5)
O. Mutual	0	0	-	0	0	-	0	0	-	0	0	-	5,589	0	-	5,589	0	-
Zb Life	13	0	-	5	0	-	5	0	-	15	0	-	8	0	-	47	0	-
Zimnat	19	171	800	35	52	49	2	17	650	104	15	86%	143	2	(99)	304	257	(15)
Total	**793**	**872**	**10**	**684**	**780**	**14**	**476**	**332**	**(30)**	**799**	**648**	**(19)**	**1,376**	**1,612**	**17**	**9,661**	**4,244**	**(56)**

9.0 Earnings

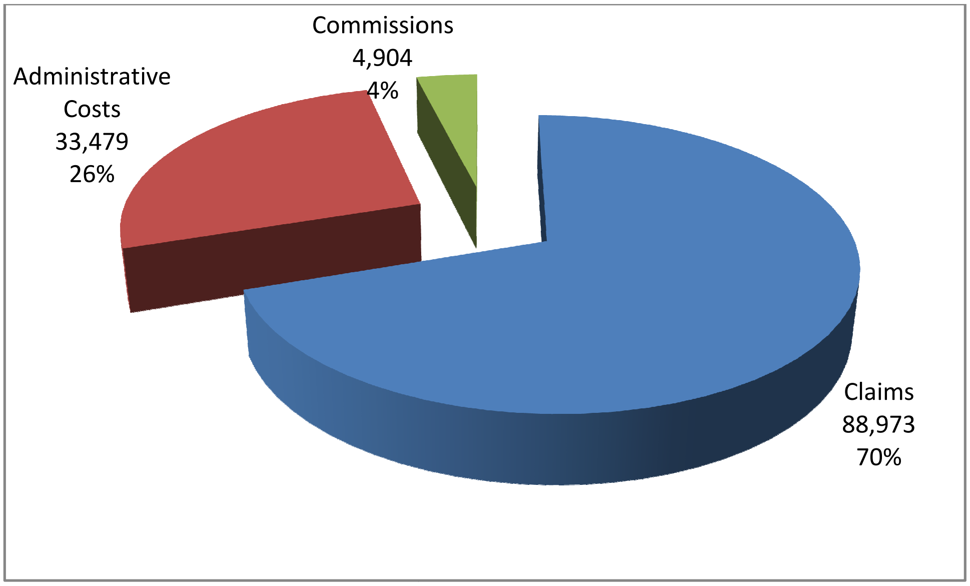
For the period under review, administration expenditure accounted for 26% of total costs(September 2012:29%}, claims,70%(September 2012:67%} whilst the cost of commission remained stagnant at 4% from the prior quarter.

Progressive industry efforts at cost management were evidenced by a decline in the combined ratio from 86% reported for the year ended 31 December 2011 to the current 66%.This relieves pressure on profit margins much to the benefit of key stakeholders like shareholders and policyholders(See Table 9, below).

Table 9: Key Income and Cost Indicators By Company for the Quarter ended 31 December 2012

Co. Name	NPW(000)		Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)					Combined Ratio		
	Sept 12	Dec 12	Sept 12	Dec 12	*Growth*	Sept 12	Dec 12	Growth	Sept 12	Dec 12	Growth	Dec 11	Sept 2012	Dec 12	Y-Growth	Q Growth	Dec 11	Sept 12	Dec 12
Altfin	3,197	3,989	290	430	48%	569	438	(23%)	1,299	1,771	36%	*2,828*	2,158	2,039	(28%)	94%	*75*	68%	51%
CBZ Life	2,664	3,907	219	959	318%	307	472	54%	700	1,145	64%	*902*	1,226	2,576	186%	110	*55*	46%	66%
Evolution	491	558	276	280	1%	154	67	(44%)	258	503	95%	*1,118*	688	850	(24%)	24%	*88*	140%	152%
Fidelity	5,919	8,520	826	1,249	51%	175	261	49%	2,646	4,448	68%	*3,481*	3,647	5,958	71%	63%	*50*	62%	70%
FML	8,823	21,697	2,169	5,876	174%	1,208	1,481	23%	9,642	8,265	(14%)	*23,793*	13,019	15,622	(34%)	20%	*99*	148%	72%
Heritage	746	1,016	110	130	18%	98	157	60%	522	670	28%	*932*	730	957	3%	31%	*112*	98%	94%
O. Mutual	102,821	134,202	50,860	72,646	43%	499	772	55%	8,178	11,916	46%	*78,951*	59,537	85,334	8%	43%	*85*	58%	64%
Zb Life	4,715	6,460	2,868	3,562	24%	484	649	34%	1,580	2,331	48%	*7,799*	4,932	6,542	(16%)	33%	*135*	105%	101%
Zimnat	8,266	11,765	2,760	3,841	39%	423	607	43%	1,580	2,430	54%	*5,538*	4,763	6,878	24%	44%	*69*	58%	58%
Total	**137,642**	**192,114**	**60,378**	**88,973**	**67%**	**3,917**	**4,904**	**25%**	**26,405**	**33,479**	**27%**	**125,343**	**90,700**	**127,356**	**2%**	**40%**	**86**	**66%**	**66%**

Figure 2: Key Cost Indicators By Company for the Quarter ended 31 December 2012



10.Asset Quality

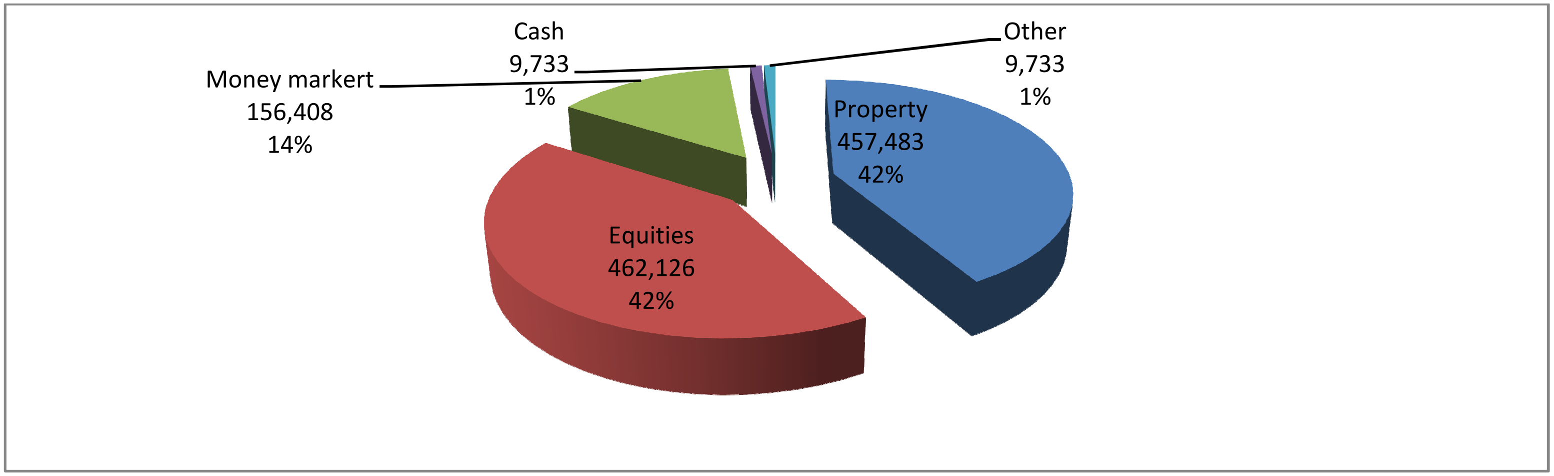
Life company investments were in properties,39% or $457million (September 2012:38% or $418million }, equities,$462million or 39% (September 2012:41% or$445million) money market ,$156million or 13%(September 2012:14% or $141million), cash assets,$10million or 1% (September 2012:1%) and other assets ,$91million or 8%(September 2012:6% or $65million).

The Commission has noticed deliberate efforts by players to subscribe to statutory paper and will continue to monitor progress with a view to ensuring full compliance .As more paper with prescribed asset status is floated,IPEC expects full compliance by players(See Table 10 and Figure 2,below).

Table 10: Life industry Asset bases for the fourth quarter ended 31 December 2012

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets Ratio (minimum 7.5%)			Total Assets (000)				
	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Dec 11	Sept 12	Dec 12	Q-Var %	Y – Var %
Altfin	251	1,500	498	185	0	-	0	177	-	208	164	(21)	706	941	33	-		-	*5,863*	1,350	2,782	106	(53)
CBZ Life	133	135	2	0	0	-	3,763	4,160	11	113	258	(128)	104	380	265	4%	4%	-	*2,683*	4,113	4,932	20	84
Evolution	31	28	(10)	0	0	-	137	140	2	-	12	-	2,111	2,237	6	-		-	*4,806*	2,279	2,417	6	(50)
Fidelity	19,499	18,444	(5)	5,220	4,950	(5)	4,216	4,296	2	465	422	(9)	2,889	5,342	85	-			*19,242*	32,289	33,453	4	74
FML	0	0	-	19,488	20,779	7	9,824	10,073	3	757	1,844	144	45,992	64,820	41	-		-	*52,006*	76,061	97,516	28	88
Heritage	611	545	(11)	29	33	14	57	107	88	1,797	1,516	(16)	-	426	-	-		-	*2,300*	2,521	2,627	4	14
O.Mutual	378,471	417,360	10	392,021	407,490	4	122,530	127,478	4	3,440	4,771	39	12,320	11,983	(3)	-	1%	-	*851,548*	908,782	969,082	7	14
Zb Life	3,940	4,031	2	19,237	20,126	5	1,568	1,766	13	250	132	(47)	1,305	2,693	106	-	1%	-	*29,513*	26,300	28,748	9	(3)
Zimnat	14,628	15,440	6	9,204	8,748	(5)	6,548	8,211	25	561	614	9	-	2,229	-	-	-	-	*31,812*	30,941	35,242	14	11
Total	**417,564**	**457,483**	**10**	**445,385**	**462,126**	**4**	**150,755**	**156,408**	**4**	**7,591**	**9,733**	**28**	**65,427**	**9,733**	**39**	**-**		**-**	*999,773*	**1,084,636**	**1,176,799**	**8**	**18**

Figure 3: Life industry Asset bases for the Third Quarter ended 31 December 2012



11. Capitalization, Solvency and Liquidity Indicators

All life assurers were adequately capitalized in excess of $500 000 as prescribed by Statutory Instrument 189 of 2009.The industry reported combined capital to liability and liquid ratios of 15% and 361% respectively(See Table 11,below).

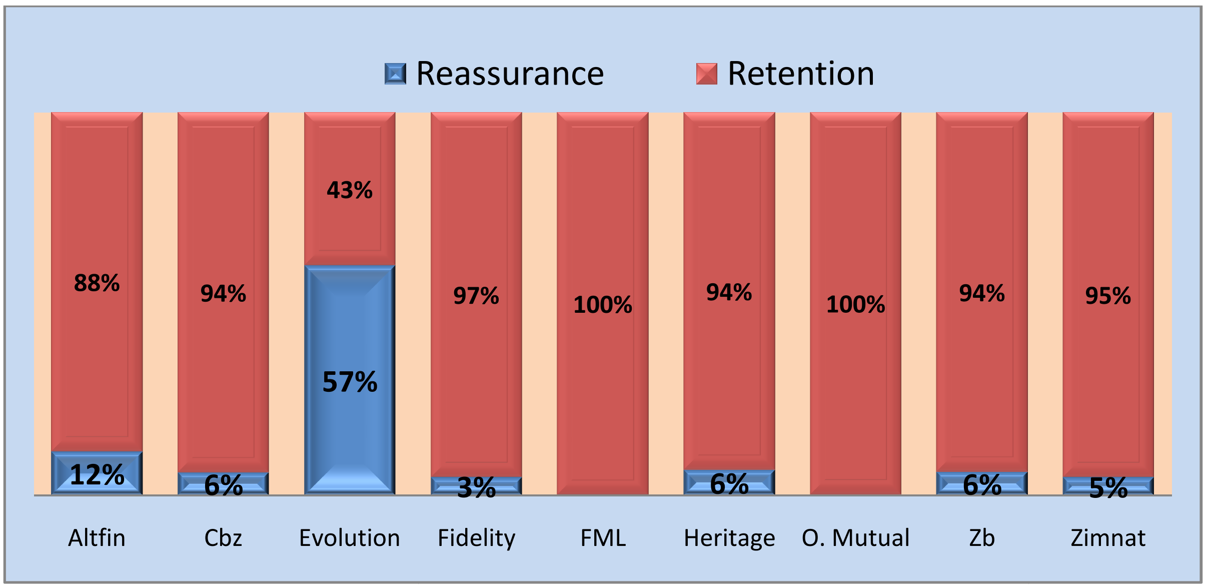
Table 11: Capitalization, Solvency and Liquidity Indicators

Co. Name	Current Assets(000)			Current Liabilities			Total Assets(000)		Total Liabilities (000)			Capital (Net Assets)(000)			Net Written Premium (000)		Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)			*Capital to NPW Ratio (%)*		
	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	Sept 12	Dec 12	%	Sept 12	Dec 12	%	Sept 12	Dec 12	%
Altfin	9,099	1,044	(89)	896	1,848	106	1,350	2,782	*1,842*	1,848	-	-492	932	89	3,197	3,989	-73	50	123	1063	56	(1007)	-85	23	108
CBZ Life	4,165	4,793	15	2,164	2,227	3	4,113	4,932	2,164	2,227	3	1,949	2,705	39	2,664	3,907	90	121	31	192	215	23	73	69	(4)
Evolution	331	236	71	356	320	(10)	2,279	2,417	356	320	(10)	1,923	2,097	9	491	558	540	655	115	93	74	(17)	392	95	(297)
Fidelity	7,571	10,065	33	5,659	5,285	(7)	32,289	33,453	24,697	25,399	3	7,592	8,054	6	5,919	8,520	31	32	1	134	190	56	128	95	(33)
FML	12,898	13,828	7	3,485	5,252	51	76,061	97,516	67,384	87,877	30	8,677	9,639	11	8,823	21,697	13	11	(3)	370	263	(107)	98	44	(54)
Heritage	1,797	1,813	1	332	352	6	2,521	2,627	425	573	35	2,096	2,054	(2)	746	1,016	493	358	(81)	541	515	1	281	202	(79)
O. Mutual	125,921	123,938	(2)	8,125	25,902	219	908,782	969,082	811,855	854,860	5	96,927	114,222	18	102,821	134,202	12	13	1	155	478	323	94	85	(9)
Zb Life	2,487	2,567	3	922	1,824	98	26,300	28,748	22,550	25,800	14	3,750	2,948	21	4,715	6,460	17	11	(6)	270	141	(129)	80	46	(34)
Zimnat	1,485	1,406	(5)	1,871	1,284	(31)	30,941	35,242	24,001	25,773	7	6940	9,469	36	8,266	11,765	29	37	8	79	110	27	84	80	(4)
Total	**165,754**	**159,690**	**(4)**	**23,810**	**44,294**	**86**	**1,084,636**	**1,176,799**	**955,274**	**1,024,677**	7	**129,362**	**152,120**	18	**137,642**	**192,114**	**14**	**15**	**1**	**696**	**361**	**(335)**	**97**	**79**	**(18)**

12. Reinsurance

High retention ratios across the industry continue to be a major concern given rising claims ratios. In the absence of any prudential guidelines on reinsurance, IPEC continues to encourage prudent risk spreading through reinsurance. This is critical where some players now underwrite high sums assured of about $20,000 especially on funeral policies. In the absence of reinsurance, such players might be exposed to liquidity risk in the near future(see Figure 4 below and Table 11 above)

Figure 4: Retention Ratios



Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

This report is based on 2 operational life reassurers.

2.0 Business Written

The fourth quarter witnessed reassurers realizing a 32 % increase, in gross written premium terms from $4,5million written in third quarter to $5,98 million .Net premium written grew from $3.8 million in the third quarter to $4.97 million by year end.

Table 1: Key Performance Indicators for the quarter ended 31 December 2012

Indicator	Sep-12	Dec-12	Growth
Gross Premium Written ($000)	4,524	5,981	32%
Net Premium Written ($000)	3,823	4,965	30%
Net Claims Incurred ($000)	(1,315)	(1,852)	41%
Net Commission Incurred ($000)	(1,188)	(1,278)	8%
Management Expenses ($000)	(996)	(1,308)	31%
Total Operational Costs ($000)	(3,499)	(4,438)	27%
Underwriting Profit ($000)	324	527	63%

2.1 Earnings

The industry incurred total operational costs amounting to $3.5million, a 27% rise from the previous reporting period. The combined ratio for the period was 89%.Players realized a technical profit of $0.3million (See Table 1 above)

2.2 Capitalization and Solvency

As at 31 December 2012 both the two Reassures were capitalized above the required minimum of $400 000. In his 2013 budget statement, the Finance Minister has stipulated that all reassurers should have a minimum of $1.5 million by 30 June 2014. This is just a minimum prudential level which should be met by all players but the Commission encourages players to link their capital assets to their respective liability profiles in line with emerging best practices and also as a proactive risk management measure(See Table 2,below).

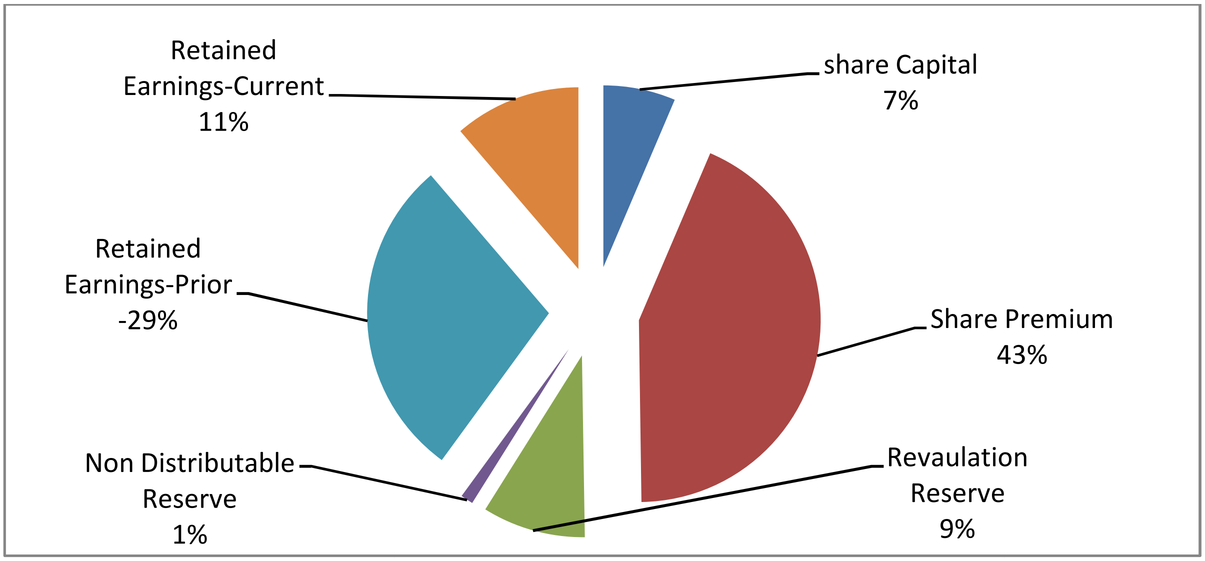
Economic rather than regulatory capital should therefore be the solvency indicator. Players should therefore deliberately adopt capital adequacy measures premised on emerging best practices such as Solvency II to maintain enough capital vis- avis risk exposure.

Table 2: Capitalization, Solvency and Liquidity Indicators

Item	Baobab			FMRe			Total		
	Sept 12	**Dec 12**	**Growth**	**Sept 12**	**Dec 12**	**Growth**	**Sept 12**	**Dec 12**	**Growth**
Prescribed assets (000)	0	30	-	0	-	-	0	30	-
Current Assets $(000)	1,921	2,081	8	342	1,858	443	2,263	3,939	74%
Total Assets $(000)	3,379	3,636	8%	738	2,250	205%	4,117	5,886	43%
Current Liabilities $(000)	493	677	37%	482	471	(2%)	975	1,148	18%
Liabilities $(000)	2,593	2,781	7%	869	857	(1%)	3,462	3,638	5%
Capital $(000)	**786**	**855**	**9%**	**-131**	**1,393**	**1063%**	**655**	**2,248**	**243%**
Prescribed asset Ratio	**0**	**1%**	**-**	**0**	**0**	**-**	**0**	**0**	**-**
Current Ratio	**390%**	**307%**	**(83%)**	**71%**	**397%**	**326%**	**132%**	**343%**	**211%**
Capital to liability ratio	**30%**	**31%**	**1%**	**-15**	**163%**	**178%**	**19%**	**196%**	**177%**
Net premium written $(000)	**2,611**	**3,408**	**31%**	**1,211**	**1,557**	**29%**	**3,823**	**4,965**	**30%**
Capital to Net premium written ratio	**30%**	**25%**	**(5%)**	**-15**	**89%**	**104%**	**17%**	**(87%)**	**(70%)**

The capital structure indicates that 43% of the capital of the two reassurers is coming from share premium. We implore the companies to deploy such funds to best use for optimum benefits to all key stakeholders (See Figure 1, below).

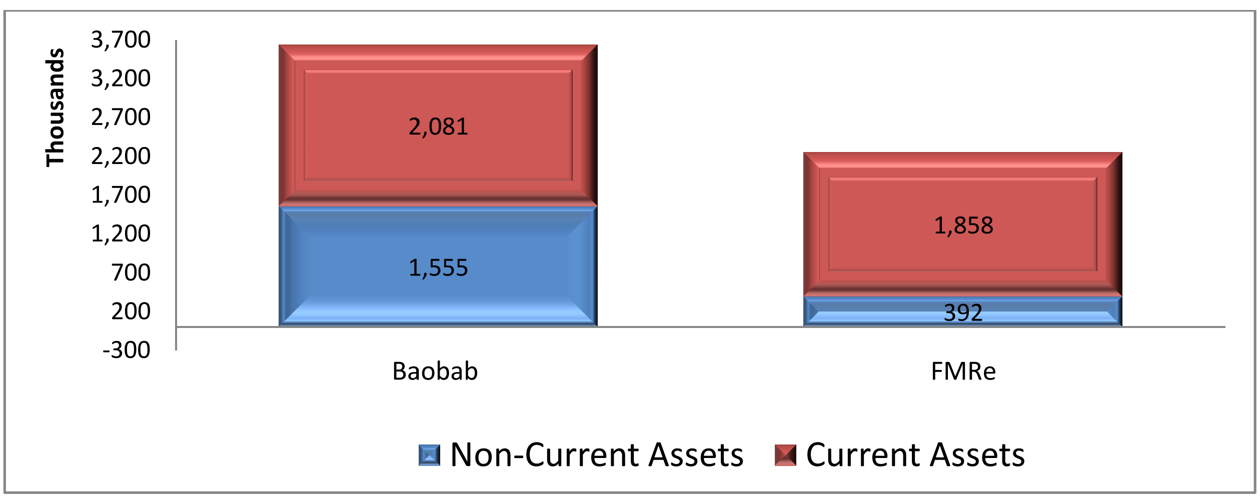
Figure 1: Composition of Capital



2.3 Asset Quality

For the year under review,67% or $3,9million of the assets were held in current assets whilst the balance was held in non-current assets. As a prudential matter, players must always be informed by actuarial guidance in asset allocations vis avis their liability profiles(see Table 2 above and Figure 2 below).

Figure 2: Total Assets for Reassurers for the year ended 31 December 2012



2.4 Market Share

Baobab Re Life and Health controlled 70% of the market in terms of gross premiums written during the year. More than 70% of the premiums written was recurring business, with 30% being new business.

Figure 3: Market share For Reassurers for the quarter ended 31 December 2012